



External governance monitoring and corporate behavior: Impact of negative media coverage pressure on ESG rating divergence

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ABSTRACT

From a global warming perspective, an enterprise's environmental, social, and governance (ESG) performance and disclosure have received significant attention from external stakeholders, e.g., green investors. Based on agenda-setting theory, this study empirically explores how negative media coverage pressure influences ESG rating divergence in China. The empirical findings suggest that negative media coverage pressure increases ESG rating divergence—these outcomes remain valid after a series of robustness and additional tests. The mediating effects of the outcomes show that negative media coverage pressure increases ESG rating divergence by exacerbating external attention tracking. Furthermore, the impact of negative media coverage pressure on ESG rating divergence is more pronounced in enterprises with low institutional investor shareholding, non-state-owned firms, corporations with low reputations, and firms with low audit quality. In sum, this study offers insight into how negative media coverage pressure influences ESG rating divergence and presents practical recommendations for corporations to improve the information disclosure framework.

1. Introduction

Enterprises worldwide put all their efforts into achieving sustainable goals and disclosing information on green practices per government-established rules and regulations. For example, in 2008, the Chinese government issued regulations regarding environmental, social, and governance (ESG) disclosure. In 2018, the China Securities Regulatory Commission (CSRC) provided a framework, namely the *Code of Corporate Governance Guidelines for Listed Companies*, for ESG disclosure (Shen et al., 2023). The CSRC obliged corporations to disclose their ESG ratings, as untimely ESG disclosure reduces stakeholder trust, increases financial cost, and worsens information asymmetry. Moreover, Liang and Cao (2024) and Sun et al. (2024) argued that China's ESG disclosure framework is underdeveloped, and most corporations lack high-quality voluntary ESG disclosure. This situation increases the demand for ESG ratings from green investors and amplifies third-party rating agencies' subjectivity (He, Chen, & Zhu, 2024). Such rating agencies release ESG ratings based on various criteria, resulting in different ESG ratings for enterprises in the market, which substantially influence stakeholders' decision-making and the firm's reputation (Berg et al., 2022). For instance, ratings agencies provided varying ESG ratings for a

well-known Chinese company, 37 Interactive Entertainment, influencing its corporate value (Liu, Dai, et al., 2024). ESG rating disagreement obscures the enterprise's actual ESG performance, creates uncertainty for external stakeholders, worsens information asymmetry, and hinders sustainable investment (Li, 2024c; Serafeim & Yoon, 2023). Earlier studies (He, Guo, and Yue (2024); Long et al. (2024); Efendi et al. (2013); Burke (2022)) have shown that in such scenarios, external stakeholders mainly rely on financial intermediaries, such as media coverage, which is considered a legitimate source of information and significantly influences the behavior and decision-making of investors. Nonetheless, existing studies on the determinants of ESG rating divergence in the context of information intermediaries—particularly via media coverage—remain scarce.

Media coverage bridges corporations and stakeholders; thus, investigating media coverage of ESG rating divergence cannot be ignored. For example, external stakeholders (such as investors, customers, etc.) acquire information about corporate business practices through media coverage (Burke, 2022; He et al., 2024a, 2024c; Menicacci & Simoni, 2024; Zhang & Chen, 2020). Earlier studies contend that media coverage improves corporate disclosure, disseminates information on green practices, influences investor and customer behavior, and promotes

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corporate value (Ali et al., 2017; Cordeiro & Tewari, 2015; Du & Vieira, 2012; Khan & Sukhotu, 2020; Sciarelli et al., 2020). Per media agenda-setting theory, negative news may prompt public scrutiny of an enterprise; consequently, corporations implement and execute actions, e.g., voluntary information disclosure, to regain eroded legitimacy (Kent & Zunker, 2013). Chen et al. (2020a) argued that negative media coverage serves as an external monitor and pressures corporations to align with sustainable development goals. However, negative media coverage pressure may lead firms to manipulate information, allowing third-party rating agencies to issue ESG ratings based on their self-described criteria. In this regard, we developed a hypothesis to determine whether and how negative media coverage pressure influences ESG rating divergence.

To test the above-mentioned conjecture, we employed a sample of 11,850 firm-year observations of Chinese A-listed firms from 2015 to 2022 and explored the impact of negative media coverage pressure on ESG rating divergence. We chose the Chinese capital market for several reasons. ESG rating agencies play an important role in capital markets; in the context of the Chinese capital market, ESG rating agencies operate with high freedom, leading to ESG rating disagreements that may be even more distinctive (Huang & Duan, 2024; Liu, Yang, et al., 2024). Furthermore, the number of ESG rating agencies, both international and domestic, in China's capital market increased over the study period. Moreover, societal and cultural factors—such as founding purpose and principles, legal origin, and legal status among international and domestic rating agencies—substantially influenced their ESG evaluations (Chen et al., 2022; Liu et al., 2024a, 2024b). Since China's Ministry of Finance encouraged firms to disclose ESG ratings voluntarily, China has exhibited higher ESG rating divergence than other emerging economies (Luo et al., 2023). Additionally, most stock traders in China's capital market are retail investors who are often overconfident, irrational, and only moderately knowledgeable, and ESG rating divergence impairs their behavior, thereby reducing stock returns (Liu, Dai, et al., 2024; Wang et al., 2024a). Furthermore, Long et al. (2024) stated that ethical awareness in China regarding sustainable development is not yet mature, which motivates enterprises to manipulate information disclosure, e.g., through ESG greenwashing. Hence, firms listed in China's capital market have ample space and opportunity to manipulate information to achieve short-term sustainable development goals, which ultimately raises ESG rating divergence.

Our study makes several marginal contributions to the existing literature. First, our study expands the literature by providing evidence of the influence of corporate governance on media coverage. Existing studies have recognized media coverage as a critical tool for enterprises' publicity and external monitoring (Li & Long, 2024a; Menicacci & Simoni, 2024; Zou et al., 2024). Our research differs from prior studies that investigated the monitoring framework of media coverage on corporate strategic decisions, such as accounting information quality and management behavior (He, Guo, & Yue, 2024; Peña-Martel et al., 2020, 2022). We enrich earlier studies on media coverage in the context of business ethics and corporate governance; however, our findings confirm the corporate governance effect of negative media coverage and show that firms behave opportunistically due to negative news pressure. Second, our research adds to prior studies on the determinants of ESG rating divergence. Earlier studies mainly focused on ESG performance rather than analyzing the crucial issue of ESG rating divergence, which is detrimental to corporations. A small number of studies have recently analyzed the relationship between ESG rating divergence and stock price crash risk, corporate hypocrite, information disclosure, earnings management, idiosyncratic risk volatility, analyst forecast quality, and green innovation bubbles (Geng et al., 2024; He, Chen, & Zhu, 2024; Li, 2024c; Liang & Cao, 2024; Liu, Yang, et al., 2024; Mao et al., 2024; Wang & Liu, 2024b). This literature largely ignores external supervisory factors. In contrast, we empirically examine how public opinion (external stakeholder) pressure affects ESG rating divergence in the context of negative media coverage. The findings show that firms

experience significant pressure from external stakeholders due to negative media coverage. To regain legitimacy, affected firms may engage in corporate hypocrite, such as greenwashing, which promotes ESG rating divergence. Lastly, prior studies mainly provide evidence on ESG rating divergence from developed markets. Conversely, we present empirical evidence on ESG rating divergence from the perspective of an emerging capital market. China's capital market is still developing, and its ESG disclosure framework remains immature, thereby supporting the notion that ESG rating disagreement exerts a "noise effect" (Liu, Dai, et al., 2024).

The rest of the study is structured as follows. In the next section, we provide the empirical literature and develop a hypothesis. In the third section, we present the research method and data. In the fourth section, we discuss the outcomes of the study, and finally, in section five, we conclude the paper.

2. Literature review and hypothesis development

ESG rating divergence reflects the opaque of information, which we call information asymmetry and it is mainly because of the greater opacity of the enterprise's disclosure (Li, 2024c). The origin of divergence across ESG ratings is mainly attributed to the lack of a unified mechanism concerning ESG performance and discourse (Liu, Yang, et al., 2024). Berg et al. (2022) argued that inconsistencies in ESG ratings fundamentally emerged due to the substantial lack of consensus among rating agencies regarding the weighting, measurement, and scope of assessment. Generally, there is a likelihood that when enterprises disclose ESG performance raters use divergent metrics in order to evaluate corporate ESG performance. In addition, a rating agency's subjective interpretation can be influenced by its imprints such as information processing skills, habits, preferences, etc., thereby exacerbating the ESG rating divergence for the same corporation (Christensen et al., 2022). Additionally, the immature disclosure framework makes it costly for the raters to process the ESG information, hence, the disparity in ESG rating is greater (Bonsall & Miller, 2017; Chatterji et al., 2009). Amel-Zadeh and Serafeim (2018) posit that ESG rating divergence promotes information asymmetry among internal and external stakeholders. The increasing trend in ESG rating divergence improves the investment risk and, in turn, intensifies external stakeholders' risk perception, especially investors' behavior, since they are highly concerned about risk and returns (Avramov et al., 2022; Zou et al., 2024). On the basis of the above analysis, it is worth exploring how external monitoring influences the ESG rating divergence in China's capital market. Zavyalova et al. (2012) posit that the media is a key information intermediary, and investors in emerging markets can be highly dependent on media coverage to evaluate firm performance. According to the stakeholder's theory, media may exert a regulatory impact on a corporation's ecological stewardship practices, in other words, media plays the role of "watchdog" (Freeman, 2010; Rupley et al., 2012). External monitoring such as media coverage may reduce or improve information asymmetry by providing negative and positive opinions to the external stakeholders who are looking for information regarding firm risk (He, Lu, et al., 2024). Zhang and Wong (2022) argued that ESG disclosure received greater media coverage, and over time media attention becomes an important intermediary for corporate ESG performance dissemination (Tsang et al., 2022). Earlier studies e.g., Wang and Liu (2024b) and Bissoondoyal-Bheenick et al. (2023); provide evidence that positive media coverage mitigates firm risk, improves corporate reputation, and enhances corporate value. In addition, negative media coverage also plays the role of the external monitor for an enterprise, for example, hampering earnings management or intensifying information disclosure (He, Guo, & Yue, 2024; Pan et al., 2022). On the one hand, Zhiwei et al. (2022) provide evidence that optimistic media sentiments prompt information disclosure quality. Zhou et al. (2024) posit that media coverage influences corporate governance mainly by means of the reputation mechanism which is a crucial intangible asset of an

enterprise. Li et al. (2024b) and Burke (2022) contend that negative media attention is detrimental to the firm's reputation which in turn deteriorates an enterprise's relationship with external stakeholders, especially with investors, as well as chaotic corporate financing and operating activities. Such circumstances improve the pressure from the public and firms engage in "adaptive" and "defensive" responses in order to overcome the pressure. Negative media coverage signifies a legitimacy loss, particularly in emerging markets like China, where immature disclosure frameworks cause information asymmetry (Cahan et al., 2015; Pan et al., 2022). Those firms that are exposed to negative media coverage face challenges from external stakeholders such as loss of investors' trust, and failure to regain legitimacy concerns lead to financial distress (i.e., Eron) (Chen & Wan, 2020b; Liu et al., 2023; Zhang & Chen, 2020). Therefore, firms have adopted diverse strategies such as greenwashing to overcome the pressure of negative media coverage and to regain their legitimacy. Li (2024c) argued that ESG performance aids corporations in retaining investors' trust and regaining reputation loss, however, in the presence of negative media coverage pressure executives pay more attention to short-term goals and forgo the long-term goals (Li & Zhang, 2023). For instance, improvement in investors' mistrust and cynicism leads to greenwashing's proliferation, and it is a low-cost behavioral strategy as well as it can efficiently alleviate the pressure arising because of negative media coverage (Long et al., 2024). In addition, an immature disclosure framework provides corporations an opportunity to disclose ESG information at their discretion (Liu, Dai, et al., 2024). In a nutshell, Long et al. (2024); Sun et al. (2024) and Wang and Liu (2024b) provide evidence that negative media coverage strengthens a firm's information disclosure manipulation e.g., ESG greenwashing, thereby promoting the subjectivity of raters by providing them with an opportunity to issue ESG rating on the basis of their own develop weights, methodology, and framework. In brief, the negative media coverage pressure plays a dual role of positive corporate governance e.g., reducing manager's opportunistic behavior, and negative pressure e.g., reputation loss. In accordance with this, the given study proposes the following competing research hypotheses:

H1a. Negative media coverage will increase the ESG rating divergence.

H1b. Negative media coverage will reduce the ESG rating divergence.

$$MNN = \frac{\text{Overall negative news every year} - \text{Overall positive news every year}}{\text{Overall negative news every year} + \text{Overall positive news every year}} * \ln \left(\frac{\text{The total number of news articles in which the company appears} + 1}{\text{The total number of news articles in which the company appears}} \right) \quad (1)$$

3. Research design

3.1. Sample and data

We selected China's A-share listed enterprises as the initial study sample and investigated how negative media coverage pressure impacts ESG rating divergence. Referring to Liu, Yang, et al. (2024), we chose the sample period from 2015 to 2022 and employed the following procedure to obtain the final sample. We eliminated firms with missing observations, those from the real estate and financial sectors, those with ST and ST* marks, and those with fewer than two firm-year ratings. Our final sample comprised 11,850 firm-year observations. The response variable data were retrieved from FTSE Russell, Bloomberg, Hexun, SynTao Green Finance, Wind, and Huazheng. Other financial and explanatory variable data were retrieved from the CSMAR and CNRDS databases.

3.2. Variables measurement

3.2.1. Response variable

The given study employed the data from six rating agencies including two international and four domestic rating agencies to measure the key dependent variable ESG rating divergence - ED.O (see (Geng et al., 2024; Wang et al., 2023)). We choose these rating agencies as data sources for several reasons. Firstly, considering the availability of data, ESG rating information that is conveniently accessible to outside stakeholders tends to have an effective impact on the market. Thus, numerous third parties have developed partnerships with key investment platforms or financial databases. In accordance with it, our study refers to two widely employed financial databases and investment software in China, namely WIND and iFind, and chooses representative rating information from domestic sources (Hexun, SynTao Green Finance, WIND, and Huazheng). Secondly, we consider the data availability timeframe, Shen et al. (2023) stated that ESG rating agencies' emergence is usually observed post-2015. Thus, we choose the sample period from 2015 to 2022. Finally, differences between international and domestic perspectives are prompted by FTSE Russell and Bloomberg ratings data. The key difference between international and domestic rating agencies lies in the coverage of ratings of ESG for mainland-listed firms. Such as international databases may be unable to capture the cultural aspects, while domestic agencies provide comprehensive coverage of the Chinese-listed companies. In addition, FTSE Russell and Bloomberg have presented ESG ratings in a score format, while other rating agencies presented in a grade format.

Currently, the approach of ESG rating divergence measure lacks consensus within the earlier studies. Therefore, following He, Chen, and Zhu (2024); Liu, Yang, et al. (2024); Sun et al. (2024); and Geng et al. (2024) we measure ESG rating divergence. Following prior studies first we convert the ESG ratings into grade format from 1 to 9 and then use the standard deviation of the standardized ESG ratings to depict ESG rating divergence.

3.2.2. Explanatory variable

Referring to Long et al. (2024), we calculate the main independent variable negative media coverage pressure – MNN as follows:

The greater the value, the higher the negative media coverage of the firm (Gurun & Butler, 2012).

3.2.3. Control variables

To enhance the precision of the given paper, we chose a set of governance and firm-specific control variables in line with the existing literature, e.g., (He et al., 2024a, 2024b; Li, 2024c; Long et al., 2024; Sun et al., 2024) which may influence ESG rating divergence. Drempetic et al. (2020) stated that a firm's characteristics influence ESG performance in the context of resource evaluation, therefore, we include the firm's characteristics including firm size (F_SZ) which is measured as the natural logarithm of total assets, list age (L_AE) which is measured as the natural logarithm of the number of years since firm listed, and firm age (F_AE) which is measured as the natural logarithm of the number of years since firm established. Ali et al. (2017) posit that profitability, leverage, and cashflow ratio are key metrics which determine whether an enterprise can allocate resources to engage in ESG practices, thus, we

Table 1
Descriptive statistics.

Variable	N	Mean	SD	Min	Max	p25	p75
ED_O	11850	0.880	0.720	0	3.536	0	1.414
MNN	11850	5.352	1.127	−0.367	10.61	4.719	5.947
F_SZ	11850	22.82	1.337	19.75	26.45	21.86	23.61
L_EV	11850	0.434	0.192	0.052	0.924	0.283	0.578
R_A	11850	0.049	0.061	−0.382	0.255	0.020	0.077
C_FO	11850	0.057	0.065	−0.173	0.266	0.018	0.095
G_WT	11850	0.190	0.415	−0.653	3.894	0.002	0.273
B_SZ	11850	2.135	0.196	1.609	2.708	1.946	2.197
B_IDP	11850	0.377	0.055	0.286	0.600	0.333	0.429
C_D2	11850	0.262	0.440	0	1	0	1
T_SH1	11850	0.339	0.149	0.081	0.743	0.219	0.441
T_OQ	11850	2.111	1.431	0.802	16.65	1.216	2.476
L_AE	11850	2.362	0.709	0	3.401	1.946	2.944
F_AE	11850	2.979	0.287	2.079	3.611	2.833	3.178
B_G4	11850	0.086	0.280	0	1	0	0

include leverage (L_EV) which is measured as the proportion of total liabilities to total assets, return on assets (R_A) which is measured as the percentage of net profit to total asset, Tobin Q (T_OQ) which is measured as the proportion of firms market capitalization to total asset, and cashflow ratio (C_FO) which is measured as the proportion of net cash flow from operations to the total asset. O'Sullivan et al. (2021) contend that corporate ESG performance could be influenced by a firm's growth ability, hence, we include growth (G_WT) as a control variable which is measured as the growth rate of operating income. Amore and Bennedsen (2016) argued that a robust corporate governance framework can enhance supervision intensity and inhibit management shortsightedness, resulting in reduced ESG rating divergence, thus, we control for a series of control variables including dual hatting (C_D2) which is measured as a binary variable and take the value of 1 if CEO holds dual position otherwise, 0, board size (B_SZ) which is measured as the natural logarithm of a total number of directors on board, and board independence (B_IDP) which is measured as the percentage of independent directors. Our study also controls for audit quality (B_G4) which is measured as a binary variable and takes the value of 1 if the auditor is

from the top 4 firms, and 0 otherwise. Since audit quality serves as an imperative governance mechanism and generally takes restrictive measures for violations of corporate ESG disclosure (Chen & Wang, 2025). Baloria et al. (2019) and He, Chen, and Zhu (2024) demonstrated that shareholder preferences have a substantial impact on an enterprise's behavior and shareholders, thus, we control for top shareholders (T_SH1) which are measured as the ratio of the largest shareholders to the total outstanding shares of the enterprise. We also control for year and industry-fixed effects.

3.3. Empirical model

To explore whether negative media coverage pressure influences the ESG rating divergence, we estimated the following regression model:

$$ED_O_{it} = \alpha_0 + \beta_1 MNN_{it} + \sum \beta_j Control_{it} + \sigma_j + \vartheta_t + \varepsilon_{it} \quad (2)$$

In equation 2, i, t presents the firm i and year t , respectively. ED_O_{it} is the proxy of ESG rating divergence as defined above. The primary explanatory variable of interest is negative media coverage pressure MNN_{it} ; if the given study hypotheses $H_{1a}(H_{1b})$ is valid than it is expected that MNN_{it} coefficients are positive(negative). $Control_{it}$, σ_j , ϑ_t , and ε_{it} presents the control variables, industry fixed effect, year fixed effect, and error term, respectively.

4. Empirical results

4.1. Descriptive statistics and correlation analysis

Tables 1 and 2 present the summary statistics and correlation analysis of the key variables. The mean value of ESG rating divergence (ED_O) is 0.880, indicating that the average divergence among rating agencies in this study's sample is relatively high, in line with (Li et al., 2024b). Furthermore, the mean value of our key explanatory variable, negative media coverage pressure (MNN), is 5.352, with minimum and maximum values of −0.367 and 10.61, respectively, indicating a higher proportion of negative media coverage and greater variation in media

Table 2
Correlation matrix and VIF.

	ED_O	MNN	F_SZ	L_EV	R_A	C_FO	G_WT
ED_O	1						
MNN	1.430	1					
F_SZ	3.150	0.387***	1				
L_EV	1.890	0.146***	0.217***	1			
R_A	1.620	0.0120	0.047***	−0.370***	1		
C_FO	1.310	0.117***	0.073***	−0.200***	0.448***	1	
G_WT	1.080	−0.079***	0.023**	0.041***	0.208***	0.00900	1
B_SZ	1.600	0.089***	0.087***	0.122***	0.00200	0.060***	−0.040***
B_IDP	1.500	0.033***	0.080***	0.041***	0.0130	−0.00700	−0.00200
C_D2	1.080	−0.053***	−0.017*	−0.164***	0.039***	−0.00900	0.039***
T_SH1	1.110	0.039***	0.055***	0.224***	0.094***	0.092***	−0.018*
T_OQ	1.530	−0.100***	0.078***	−0.434***	0.289***	0.151***	0.050***
L_AE	1.970	0.325***	0.107***	0.514***	0.338***	−0.131***	−0.051***
F_AE	1.480	0.200***	−0.00200	0.247***	0.187***	−0.032***	−0.047***
B_G4	1.220	0.119***	0.253***	0.381***	0.147***	0.00200	−0.026***
Mean VIF	1.570						
	B_SZ	B_IDP	C_D2	T_SH1	T_OQ	L_AE	F_AE
B_SZ	1						
B_IDP	−0.540***	1					
C_D2	−0.178***	0.108***	1				
T_SH1	0.033***	0.055***	−0.069***	1			
T_OQ	−0.132***	0.038***	0.101***	−0.071***	1		
L_AE	0.174***	−0.020**	−0.200***	0.024***	−0.206***	1	
F_AE	0.116***	−0.028***	−0.120***	−0.030***	−0.146***	0.555***	1
B_G4	0.078***	0.063***	−0.066***	0.182***	−0.107***	0.121***	0.055***
B_G4							
B_G4	1						

Significance Level * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

Table 3
Benchmark outcomes.

	(1)	(2)
	ED_O	ED_O
MNN	0.122*** (0.005)	0.041*** (0.006)
F_SZ		0.164*** (0.008)
L_EV		−0.206*** (0.041)
R_A		−0.005 (0.114)
C_FO		0.441*** (0.096)
G_WT		−0.071*** (0.014)
B_SZ		0.073** (0.035)
B_IDP		0.180 (0.119)
C_D2		−0.002 (0.013)
T_SH1		0.085** (0.040)
T_OQ		0.029*** (0.005)
L_AE		0.102*** (0.011)
F_AE		−0.135*** (0.024)
B_G4		−0.066*** (0.021)
Constant	−0.113 (0.090)	−3.319*** (0.200)
Observation	11850	11850
R ²	0.309	0.364
Industry FE	Yes	Yes
Year FE	Yes	Yes

Significance Level * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

behavior. Table 2 presents the results of the correlation analysis to check for the probability of multicollinearity among the key variables. The results suggest that all Pearson correlation and variance inflation factor (VIF) values are below the standard threshold, confirming no potential multicollinearity concerns in this study's model.

4.2. Impact of negative media coverage on ESG rating divergence

Table 3 shows the regression results for Equation (2). First, we regress the dependent and explanatory variables along with year and industry fixed effects, excluding the control variables. Column 1 of Table 3 presents the results, showing that the MNN coefficient is 0.122 and statistically significant at the 1 % level. We then extend Column 1 to include all control variables in the regression model and report the results in Column 2. After including the control variables, the coefficient of MNN remains positive (0.041) and statistically significant. This outcome suggests that negative media coverage pressure increases ESG rating divergence, verifying hypothesis H_{1a}. A firm's social responsibility information disclosure also assists investors in decision-making; however, divergence in information disclosure (such as ESG rating divergence) reduces investor trust (Avramov et al., 2022). Menicacci and Simoni (2024) and Burke (2022) indicated that agenda-setting theory can be instrumental in ESG since information on ESG concerns is often unreliable and scarce.

Media can act as an external supervisory and informational intermediary, inhibiting management's opportunistic behavior and mitigating information asymmetry between internal and external stakeholders. Media coverage is perceived as a legitimate, credible, and visible source of information—in other words, the media reflect external stakeholders' perceptions. Long et al. (2024) and Burke (2022) stated

Table 4
Alternative variables.

	(1)	(2)	(3)
	ED^	ED_O	ED_O
MNN	0.059*** (0.006)		
MNN_1		0.024*** (0.007)	
MNN_2			0.045*** (0.007)
F_SZ	0.157*** (0.007)	0.184*** (0.007)	0.163*** (0.008)
L_EV	−0.212*** (0.039)	−0.187*** (0.041)	−0.202*** (0.041)
R_A	−0.369*** (0.108)	0.024 (0.115)	0.010 (0.115)
C_FO	0.247*** (0.091)	0.443*** (0.097)	0.438*** (0.096)
G_WT	−0.067*** (0.013)	−0.066*** (0.014)	−0.071*** (0.014)
B_SZ	−0.007 (0.033)	0.079** (0.035)	0.074** (0.035)
B_IDP	0.078 (0.112)	0.213* (0.119)	0.179 (0.119)
C_D2	0.021* (0.012)	0.002 (0.013)	−0.001 (0.013)
T_SH1	−0.042 (0.038)	0.050 (0.040)	0.082** (0.040)
T_OQ	0.033*** (0.005)	0.037*** (0.005)	0.028*** (0.005)
L_AE	0.004 (0.010)	0.095*** (0.011)	0.101*** (0.011)
F_AE	−0.076*** (0.022)	−0.137*** (0.024)	−0.134*** (0.024)
B_G4	−0.010 (0.020)	−0.056*** (0.021)	−0.066*** (0.021)
Constant	−3.248*** (0.188)	−3.482*** (0.198)	−3.315*** (0.200)
Observation	11850	11850	11850
R ²	0.462	0.362	0.363
Industry FE	Yes	Yes	Yes
Year FE	Yes	Yes	Yes

Significance Level * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

that negative media coverage pressures internal governance and motivates firms to behave opportunistically. Pan et al. (2022) argued that negative media coverage damages an enterprise's reputation and increases financial risk. According to the agenda-setting theory of McCombs and Shaw (1972), negative media coverage disseminates information to external stakeholders, making it easier for them to evaluate a firm's performance and aiding investors in decision-making. Wang and Ye (2015) demonstrated that media coverage increases reputational cost, exerting pressure on firms to behave in a socially acceptable way. Barton (2005) found that enterprises with higher media coverage face stricter external scrutiny and are ultimately subject to greater reputational loss when disregarding generally accepted governance standards. The content or information in a media report can impact how media coverage influences a firm's legitimacy and reputation. Pollock and Rindova (2003) argued that negative media coverage can signal unfavorable signs regarding an enterprise's future performance, reducing its legitimacy and reputation. Gurun and Butler (2012) support this argument and posit that unfavorable news can also incur reputational costs that reduce corporate profitability. Furthermore, negative news lowers a firm's value (Tetlock, 2007); for example, negative media coverage can incentivize investors to demand higher stock returns to compensate for the risk associated with damaged legitimacy and reputation. These arguments support the conclusion that negative media coverage pressure increases ESG rating divergence. Due to reputational penalties, firms may avoid voluntarily disclosing ESG ratings, allowing third-party ESG rating agencies to do so instead.

The control variable coefficients are mostly consistent with existing

Table 5
Endogeneity checks.

	(1)	(2)	(3)	(4)	(5)	(6)	(7)
	Forward lag	O_logit	Firm FE	Multidimensional FE	L_MNN		Omitted Variables
	F_ESG	ED_O	ED_O	ED_O	ED_O	ED_O	ED_O
MNN	0.026*** (0.007)	0.129*** (0.020)	0.056*** (0.009)	0.037*** (0.006)			0.022*** (0.008)
L.MNN					0.026*** (0.007)		
L2.MNN						0.020*** (0.007)	
F_SZ	0.164*** (0.009)	0.511*** (0.025)	−0.045** (0.023)	0.176*** (0.008)	0.169*** (0.009)	0.155*** (0.009)	0.084*** (0.012)
L_EV	−0.177*** (0.047)	−0.671*** (0.133)	0.346*** (0.078)	−0.224*** (0.041)	−0.219*** (0.047)	−0.262*** (0.053)	−0.062 (0.056)
R_A	0.234 (0.145)	0.383 (0.367)	−0.294** (0.131)	0.037 (0.119)	−0.125 (0.129)	−0.380*** (0.138)	0.102 (0.199)
C_FO	0.570*** (0.110)	1.299*** (0.313)	0.525*** (0.108)	0.423*** (0.098)	0.499*** (0.110)	0.333*** (0.125)	0.362*** (0.131)
G_WT	−0.024 (0.015)	−0.231*** (0.046)	−0.112*** (0.014)	−0.068*** (0.014)	−0.085*** (0.017)	−0.068*** (0.022)	−0.065*** (0.018)
B_SZ	0.084** (0.040)	0.154 (0.112)	0.238*** (0.073)	0.076** (0.035)	0.052 (0.039)	−0.004 (0.044)	0.078* (0.047)
B_IDP	0.075 (0.133)	0.075 (0.380)	0.650*** (0.209)	0.199* (0.120)	0.039 (0.132)	−0.126 (0.146)	0.324** (0.162)
C_D2	0.005 (0.014)	0.010 (0.041)	0.009 (0.020)	−0.001 (0.013)	0.005 (0.014)	0.012 (0.016)	0.002 (0.017)
T_SH1	0.074* (0.045)	0.229* (0.128)	−0.297** (0.128)	0.099** (0.040)	0.056 (0.045)	0.055 (0.050)	0.032 (0.055)
T_OQ	0.027*** (0.005)	0.093*** (0.015)	−0.030*** (0.006)	0.035*** (0.005)	0.053*** (0.006)	0.071*** (0.007)	0.019* (0.010)
L_AE	0.112*** (0.012)	0.464*** (0.038)	0.295*** (0.032)	0.088*** (0.011)	0.136*** (0.014)	0.124*** (0.017)	0.078*** (0.015)
F_AE	−0.133*** (0.026)	−0.540*** (0.079)	1.539*** (0.088)	−0.133*** (0.024)	−0.149*** (0.028)	−0.128*** (0.032)	−0.062** (0.031)
B_G4	−0.059** (0.023)	−0.216*** (0.065)	−0.017 (0.054)	−0.074*** (0.021)	−0.067*** (0.023)	−0.069*** (0.025)	0.001 (0.030)
L_ED_O							0.499*** (0.012)
L_O							−0.003 (0.040)
A_CV							0.001 (0.001)
G_IN							−0.005 (0.014)
Constant	−3.056*** (0.209)		−4.393*** (0.484)	−3.396*** (0.186)	−3.346*** (0.222)	−2.791*** (0.248)	−1.916*** (0.301)
Observation	8907	11850	11549	11812	8909	7123	4545
R ²	0.370		0.602	0.399	0.374	0.302	0.565
Industry FE	Yes	Yes	No	No	Yes	Yes	Yes
Year FE	Yes	Yes	No	No	Yes	Yes	Yes
Firm FE	No	No	Yes	No	No	No	No
Industry FE*Year FE	No	No	No	Yes	No	No	No

Significance Level * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

studies (Chen & Wang, 2025; He, Chen, & Zhu, 2024; Long et al., 2024; Wang & Ye, 2015). The coefficients for firm size, cash flow, board size, top shareholders, market value, and listed age are significantly positive. Conversely, the coefficients for leverage, growth, firm age, and audit quality are significantly negative. These results suggest that the likelihood of ESG rating divergence is lower for enterprises with high leverage and growth, mature firms, and those audited by one of the top four auditors. In contrast, ESG rating disparity is higher for large firms, firms with high cash flow, weaker corporate governance, pressure-sensitive shareholders, higher market value, and those listed on the exchange.

4.3. Robustness tests

4.3.1. Alternative measures of explained and explanatory variables

We employ alternative proxies for ESG rating divergence (ED^{*}) and negative media coverage (MNN_1 and MNN_2) to alleviate concerns

about measurement error and confirm the reliability of our empirical results for Equation (2). First, we substitute the explained variables with the ESG ratings of domestic raters to mitigate cultural and societal impacts (Liu, Yang, et al., 2024). Second, referring to Wang and Ye (2015) and Long et al. (2024), we recalculate negative media coverage, using MNN_1 and MNN_2 as alternative proxies for our key independent variable. The results in columns 1, 2, and 3 of Table 4 indicate that the coefficients for MNN, MNN_1, and MNN_2 remain positive and significant at the 1 % level, confirming the robustness of the baseline results. Overall, Table 4 confirms the validity of H₁, suggesting that negative media coverage (i.e., reputational loss) increases ESG rating divergence.

4.3.2. Model with one-year-ahead explained variable

To address the issue of time-effect endogeneity, following (Ali et al., 2025) we re-estimate the regression model by using the forward lag of the explained variable (F_ESG)—in other words, we test whether unfavorable news predicts future ESG rating divergence. Column 1 of Table 5

Table 6
PSM, and 2SLS.

	(1)	(2)	(3)	(4)
	PSM		2SLS	
	ED_O	ED_O	MNN	ED_O
MNN		3.547*** (0.092)		0.036*** (0.009)
MNN_Treat	0.184*** (0.015)			
MNN_1			0.718*** (0.008)	
F_SZ		0.631*** (0.057)	0.170*** (0.010)	0.163*** (0.009)
L_EV		−0.388 (0.294)	0.261*** (0.052)	−0.229*** (0.047)
R_A		−1.467* (0.859)	0.245* (0.144)	−0.134 (0.129)
C_FO		1.496** (0.679)	0.151 (0.123)	0.493*** (0.110)
G_WT		0.128 (0.084)	0.065*** (0.019)	−0.087*** (0.017)
B_SZ		−0.167 (0.239)	0.076* (0.044)	0.050 (0.039)
B_IDP		1.918** (0.813)	0.543*** (0.147)	0.019 (0.132)
C_D2		0.001 (0.090)	0.012 (0.016)	0.005 (0.014)
T_SH1		−0.397 (0.288)	−0.276*** (0.051)	0.066 (0.046)
T_OQ		0.189*** (0.031)	0.092*** (0.007)	0.050*** (0.006)
L_AE		0.059 (0.081)	−0.098*** (0.015)	0.140*** (0.014)
F_AE		−0.022 (0.169)	0.035 (0.031)	−0.150*** (0.028)
B_G4		0.186 (0.146)	0.057** (0.026)	−0.069*** (0.023)
Constant	0.835*** (0.008)	−34.236*** (1.494)	−2.902*** (0.248)	−3.240*** (0.229)
Observation	11756	11756	8909	8909
R ²	0.012		0.712	0.374
F Stat			239.594	
Industry FE	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes

Significance Level * p < 0.1, **p < 0.05, ***p < 0.01.

presents the regression results, showing that the coefficient of the explanatory variable (MNN) is positive and statistically significant at the 1 % level. These results demonstrate that H_{1a} still holds after controlling for time-effect endogeneity, consistent with previous studies (Long et al., 2024; Wang & Ye, 2015).

4.3.3. Ordered logit model

Referring to Chen et al. (2024), we replace the ordinary least squares model with the ordered logit model (O_logit) to avoid potential bias in the regression. To address this concern, we rerun the model using O_logit to analyze how negative media coverage affects ESG rating divergence. Column 2 of Table 5 presents the findings, showing that the coefficient for MNN remains positive and significant at the 1 % level.

4.3.4. Additional endogeneity checks

Developing an appropriate model specification in empirical studies is complex, as it can lead to conclusions opposite to our hypothesis (Hossain et al., 2023). To ensure the robustness of our findings, we retest Model 2 using different checks commonly applied in prior studies. First, we control for firm and multidimensional (year-industry) fixed effects to mitigate omitted variable bias. Column 3 of Table 5 excludes year and industry fixed effects and instead controls for firm fixed effects. Column 4 controls for year-industry multidimensional fixed effects. The coefficient of our key variable remains positive and significant at the 1 % level in both columns.

Table 7
Quantile effect.

	(1)	(2)	(3)	(4)
	20 %	40 %	60 %	80 %
	ED_O	ED_O	ED_O	ED_O
MNN	0.012*** (0.004)	0.030*** (0.006)	0.045*** (0.009)	0.048*** (0.012)
F_SZ	0.087*** (0.005)	0.171*** (0.007)	0.183*** (0.011)	0.116*** (0.016)
L_EV	−0.140*** (0.025)	−0.187*** (0.037)	−0.214*** (0.061)	−0.067 (0.084)
R_A	−0.010 (0.069)	0.121 (0.104)	0.367** (0.170)	0.148 (0.234)
C_FO	0.059 (0.058)	0.155* (0.088)	0.356** (0.144)	0.564*** (0.197)
G_WT	−0.014* (0.008)	−0.046*** (0.012)	−0.089*** (0.020)	−0.094*** (0.028)
B_SZ	0.053** (0.021)	0.072** (0.032)	0.008 (0.053)	0.074 (0.072)
B_IDP	0.133* (0.072)	0.100 (0.109)	−0.096 (0.178)	0.221 (0.244)
C_D2	0.003 (0.008)	0.001 (0.012)	0.000 (0.019)	0.002 (0.026)
T_SH1	0.045* (0.024)	0.122*** (0.037)	0.093 (0.060)	0.040 (0.082)
T_OQ	0.021*** (0.003)	0.043*** (0.004)	0.027*** (0.007)	0.018* (0.010)
L_AE	−0.006 (0.007)	0.008 (0.010)	0.113*** (0.016)	0.210*** (0.022)
F_AE	−0.012 (0.014)	−0.001 (0.022)	−0.135*** (0.036)	−0.231*** (0.049)
B_G4	0.037*** (0.013)	−0.039** (0.020)	−0.077** (0.032)	−0.017 (0.044)
Constant	−2.085*** (0.121)	−3.947*** (0.182)	−3.696*** (0.297)	−1.752*** (0.408)
Observation	11850	11850	11850	11850
R ²				
Industry FE	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes

Significance Level * p < 0.1, **p < 0.05, ***p < 0.01.

Second, we use lagged values of our key explanatory variable MNN at time t−1 (L.MNN) and t−2 (L2.MNN) to address endogeneity and account for potential delayed effects of ESG rating divergence. The coefficients for L.MNN and L2.MNN in columns 5 and 6 of Table 5 remain positive and significant at the 1 % level.

Third, we incorporate time-varying omitted variables (corporate loss, analyst coverage, green innovation, and the degree of ESG rating divergence in the prior period) into our regression model to reduce endogeneity concerns. After including these variables in Equation (2), we rerun the regression. Column 7 of Table 5 presents the results, showing that the coefficient of MNN remains positive and significant at the 1 % level.

4.3.5. Propensity score matching (PSM) method

Our baseline results indicate a positive and significant relationship between negative media coverage pressure and ESG rating divergence. Following He, Guo, and Yue (2024), we apply the PSM method to mitigate endogeneity. In the first stage, we estimate a probit model using high negative media coverage as an explanatory variable, coded as 1 if the negative media coverage exceeds the 70th percentile annually, and 0 otherwise. Using this model, we estimate the propensity scores of enterprises with higher negative media coverage. In the second stage, we match these firms to peers using 1:1 nearest-neighbor matching. Finally, we use the regression model to analyze the matched sample. Columns 1 and 2 of Table 6 report the PSM results, showing that the coefficient of MNN remains positive and significant.

4.3.6. 2SLS approach

In addition to the methods above, we employ a two-stage least

Table 8
Additional checks.

	(1)	(2)	(3)	(4)	(5)	(6)
	Sample Firm	Sample Period	High-Media attention	Low-Media attention	Older Executives	Younger Executives
	ED_O	ED_O	ED_O	ED_O	ED_O	ED_O
MNN	0.047*** (0.009)	0.022* (0.012)	0.050*** (0.011)	0.029*** (0.007)	0.035*** (0.008)	0.046*** (0.010)
F_SZ	0.149*** (0.011)	0.091*** (0.013)	0.127*** (0.012)	0.197*** (0.010)	0.153*** (0.010)	0.184*** (0.013)
L_EV	−0.257*** (0.059)	−0.216*** (0.073)	−0.120** (0.057)	−0.342*** (0.060)	−0.230*** (0.055)	−0.191*** (0.063)
R_A	0.139 (0.167)	−0.749*** (0.198)	−0.222 (0.152)	0.195 (0.175)	−0.134 (0.158)	0.051 (0.169)
C_FO	0.269* (0.144)	0.094 (0.171)	0.394*** (0.136)	0.392*** (0.136)	0.365*** (0.131)	0.530*** (0.144)
G_WT	−0.057*** (0.021)	−0.014 (0.033)	−0.046** (0.019)	−0.102*** (0.019)	−0.073*** (0.018)	−0.066*** (0.020)
B_SZ	0.088* (0.051)	−0.002 (0.061)	0.087 (0.054)	0.049 (0.047)	0.011 (0.046)	0.142** (0.057)
B_IDP	0.290* (0.168)	−0.353* (0.199)	0.062 (0.176)	0.255 (0.162)	0.144 (0.152)	0.242 (0.195)
C_D2	0.023 (0.017)	0.008 (0.022)	0.010 (0.017)	−0.018 (0.019)	−0.010 (0.016)	−0.022 (0.022)
T_SH1	0.036 (0.057)	0.045 (0.069)	0.157*** (0.057)	0.002 (0.057)	0.093* (0.052)	0.063 (0.065)
T_OQ	0.024*** (0.007)	0.049*** (0.008)	0.024*** (0.007)	0.033*** (0.007)	0.038*** (0.006)	0.018** (0.008)
L_AE	0.105*** (0.015)	0.089*** (0.027)	0.098*** (0.015)	0.120*** (0.016)	0.099*** (0.014)	0.102*** (0.017)
F_AE	−0.105*** (0.033)	−0.169*** (0.048)	−0.095*** (0.032)	−0.188*** (0.036)	−0.119*** (0.032)	−0.164*** (0.036)
B_G4	−0.095*** (0.034)	−0.072** (0.033)	−0.007 (0.040)	−0.107*** (0.025)	−0.061** (0.026)	−0.055 (0.038)
Constant	−3.333*** (0.262)	−0.526 (0.339)	−2.617*** (0.307)	−3.794*** (0.277)	−2.906*** (0.254)	−3.859*** (0.331)
Observation	5751	3555	6338	5512	6909	4941
R ²	0.396	0.098	0.383	0.360	0.344	0.384
Industry FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes

Significance Level * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

squares (2SLS) regression with instrumental variable (IV) to address potential reverse causality. We use the lagged value of negative media coverage as the IV. Columns 3 and 4 of Table 6 report the results. Column 3 presents the first-stage regression, where the IV coefficient is significantly positive at the 1 % level. Column 4 shows that the MNN coefficient in the second stage is also positive and significant at the 1 % level, indicating that our results are robust.

4.3.7. Quantile effect

Following Zhang et al. (2024), we use the IV-quantile regression approach to examine the relationship between negative media coverage pressure and ESG rating divergence across different distribution levels. Table 7 presents the quantile regression results for the 20th, 40th, 60th, and 80th percentiles. The findings show that the MNN coefficients increase across quantiles, and the values remain positive and significant at the 1 % level.

In summary, the empirical results of the robustness tests align with the baseline findings, suggesting that the regression outcomes of this study are reliable and further confirming the robustness of H_{1a} .

4.4. Additional test

In this subsection, we performed three additional checks to provide robust evidence that negative media coverage pressure increases ESG rating divergence.

We investigated whether the impact of negative media coverage pressure on ESG rating divergence varies by sample period and size, media attention, and the executive's age. To test our premise, we first changed the sample period by restricting it to 2020–2022 and adjusted

the sample size by selecting only manufacturing firms listed on the Chinese stock market from 2015 to 2022. Second, we classified media attention into high media attention (where the media attention proportion—the total number of news articles in which the company appears in the title divided by the total number of news articles in which the company appears—is higher than the year-industry mean) and low media attention (where the proportion is lower than the year-industry mean). Third, we divided the sample into two groups based on the year-industry median of executive age. We re-ran Model 2 and reported the results for the above-mentioned subsamples in Table 8. The MNN coefficients in columns 1 and 2 are positive and significant at the 1 % and 10 % levels, respectively, confirming our baseline results. The MNN coefficients in columns 3 and 4 are also statistically significant and positive; notably, the coefficient under high media attention is larger than that under low media attention, suggesting that media coverage empowers external stakeholders to exert pressure on the firm's strategic decision-making. The results in columns 5 and 6 of Table 8 show that the coefficient of MNN is positive and significant at the 1 % level. Additionally, the coefficient associated with younger executives is greater than that of older executives, indicating that the effect of negative media coverage pressure on ESG rating divergence is more pronounced in firms led by younger executives.

4.5. Mechanism analysis

Based on this study's theoretical analysis, external attention pressure motivates firms to engage in impression management, leading them to behave opportunistically and causing an increase in ESG rating divergence. The reasoning is that external attention, including analyst

Table 9

Mediating effect test.

	(1)	(2)	(3)	(4)
	A_AT	ED_O	RR_AT	ED_O
MNN	1.565*** (0.085)	0.034*** (0.006)	4.788*** (0.226)	0.033*** (0.006)
A_AT		0.004*** (0.001)		
RR_AT				0.002*** (0.000)
F_SZ	4.693*** (0.107)	0.144*** (0.008)	11.360*** (0.284)	0.146*** (0.008)
L_EV	−2.615*** (0.572)	−0.194*** (0.041)	−5.621*** (1.521)	−0.197*** (0.041)
R_A	38.082*** (1.592)	−0.169 (0.117)	93.618*** (4.237)	−0.155 (0.117)
C_FO	8.056*** (1.341)	0.406*** (0.096)	24.033*** (3.567)	0.403*** (0.096)
G_WT	−0.130 (0.188)	−0.071*** (0.014)	0.262 (0.501)	−0.072*** (0.014)
B_SZ	−1.031** (0.492)	0.077** (0.035)	−3.340** (1.309)	0.078** (0.035)
B_IDP	−2.821* (1.659)	0.192 (0.119)	−3.919 (4.414)	0.186 (0.119)
C_D2	0.484*** (0.177)	−0.004 (0.013)	0.850* (0.470)	−0.003 (0.013)
T_SH1	−5.714*** (0.559)	0.109*** (0.040)	−14.075*** (1.487)	0.107*** (0.040)
T_OQ	2.335*** (0.068)	0.018*** (0.005)	5.810*** (0.181)	0.019*** (0.005)
L_AE	−1.663*** (0.151)	0.109*** (0.011)	−3.954*** (0.400)	0.109*** (0.011)
F_AE	−1.232*** (0.332)	−0.130*** (0.024)	−2.635*** (0.882)	−0.131*** (0.024)
B_G4	0.340 (0.298)	−0.067*** (0.021)	2.136*** (0.792)	−0.069*** (0.021)
Constant	−102.335*** (2.775)	−2.877*** (0.210)	−256.170*** (7.384)	−2.909*** (0.209)
Observation	11850	11850	11850	11850
R ²	0.449	0.364	0.432	0.366
Industry FE	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes

Significance Level * p < 0.1, **p < 0.05, ***p < 0.01.

coverage (A_AT) and research report coverage (RR_AT), pressures firms to disclose their ESG performance. As a result, firms may engage in information disclosure manipulation, thereby increasing ESG rating divergence. Chen et al. (2020a) found that external attention motivates firms to pursue sustainable development practices and reduce information asymmetry. He, Guo, and Yue (2024) argued that media coverage is a key source of information for intermediaries, such as securities analysts. In China, analysts rely heavily on media coverage, and media sentiment can influence their behavior and forecasts. Therefore, both positive and negative media coverage can substantially affect analyst and research report coverage. Under such conditions, the level of external attention tracking of a firm increase, placing pressure on firms to disclose their ESG performance. In this way, analyst and research report coverage can act as mediating variables through which negative media coverage pressure affects ESG rating divergence. Referring to Long et al. (2024) and He, Guo, and Yue (2024) we regress the following two-step regression equations:

$$ME_{it} = \alpha_0 + \beta_1 MNN_{it} + \sum \beta Control_{it} + \sigma_i + \vartheta_t + \varepsilon_{it} \quad (3)$$

$$ED_{O_{it}} = \alpha_0 + \beta_1 ME_{it} + \sum \beta Control_{it} + \sigma_i + \vartheta_t + \varepsilon_{it} \quad (4)$$

Where ME_{it} is our mediating effect variables namely, analyst coverage and research reporting coverage. Table 9 presents the results of the mediating effect analysis. In columns 1 and 3, the coefficient of MNN is positive and significant at the 1 % level, indicating that negative media coverage is positively associated with external attention. In columns 2

and 4, the coefficients of the mediating variables are also positive and statistically significant at the 1 % level, suggesting that external attention pressure contributes to increased ESG rating divergence.

4.6. Cross-sectional analysis

The theoretical analysis and empirical outcomes demonstrate that negative media coverage pressure can enhance external attention tracking, thereby increasing ESG rating divergence. In this subsection, we examine cross-sectional heterogeneous effects from the dimensions of institutional investors' shareholdings, ownership structure, reputation, and audit quality. In other words, we analyze whether the positive relationship between negative media coverage pressure and ESG rating divergence varies across these firm characteristics.

4.6.1. Institutional investors' shareholding

Unlike retail investors, institutional investors possess stronger governance motivation, professional capabilities, and decision-making power, which may help them better manage negative media coverage pressure. Stein (1989) argued that institutional investors focus more on long-term goals than short-term pressures. However, their role in strategic decision-making largely depends on their shareholding and investment ratio in the firm. Therefore, a higher institutional shareholding ratio is expected to weaken the ESG rating divergence induced by negative media coverage pressure. We divide the sample based on the year-industry mean value of institutional investors' shareholdings to test this hypothesis. Columns 1 and 2 of Table 10 present the results: the MNN coefficients are positively significant at the 1 % level in both subsamples. However, the coefficient for firms with low institutional shareholding is higher than that for firms with high institutional shareholding, indicating that negative media coverage pressure has a stronger effect on ESG rating divergence in firms with lower institutional ownership.

4.6.2. Ownership structure

In China, compared to non-state-owned enterprises (N_SOEs), state-owned enterprises (SOEs) are more heavily influenced by government oversight, which significantly affects their operational behaviors. Moreover, the government can influence media reporting, potentially mitigating the impact of negative media coverage on SOEs. Therefore, the influence of negative media coverage may differ between SOEs and N_SOEs. To test this, we divided the sample into SOEs and N_SOEs. Columns 3 and 4 of Table 10 report the subsample results. The MNN coefficients are positive and significant in both columns, but the coefficient in Column 4 (N_SOEs) is larger than in Column 3 (SOEs). This finding suggests that negative media coverage pressure has a greater impact on ESG rating divergence in N_SOEs.

4.6.3. Reputation

Negative media coverage can damage corporate reputation, whereas favorable media coverage serves as "reputation insurance," helping firms restore legitimacy (Anantharaman et al., 2022). In response to persistent negative coverage, firms often act to disclose ESG performance more aggressively, and those with weaker reputations may resort to corporate hypocrisy to rebuild their image. To test this proposition, we divide the sample based on the year-industry mean value of favorable media coverage and estimate Equation (1) for two subsamples: high reputation and low reputation. Columns 5 and 6 of Table 10 report the MNN coefficients. The coefficient in Column 5 (low reputation firms) is positive and significant at the 1 % level, suggesting that firms with poor reputations are more susceptible to negative media pressure and more likely to manipulate ESG disclosures to restore legitimacy, thereby increasing ESG rating divergence.

4.6.4. Audit quality

External stakeholders, particularly investors, rely heavily on audited

Table 10
Cross-sectional heterogenous effect.

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
	H_IS	L_IS	SOE	N_SOE	H_REP	L_REP	Big_4	N-Big_4
	ED_O	ED_O	ED_O	ED_O	ED_O	ED_O	ED_O	ED_O
MNN	0.030*** (0.008)	0.046*** (0.010)	0.031*** (0.010)	0.045*** (0.008)	−0.017 (0.016)	0.045*** (0.008)	0.003 (0.016)	0.052*** (0.007)
F_SZ	0.176*** (0.010)	0.167*** (0.013)	0.172*** (0.012)	0.170*** (0.010)	0.225*** (0.014)	0.148*** (0.010)	0.155*** (0.022)	0.172*** (0.008)
L_EV	−0.245*** (0.058)	−0.199*** (0.060)	−0.391*** (0.069)	−0.150*** (0.052)	−0.406*** (0.085)	−0.169*** (0.047)	−0.628*** (0.168)	−0.219*** (0.043)
R_A	0.795*** (0.187)	−0.365** (0.148)	−0.074 (0.249)	−0.069 (0.132)	0.844*** (0.251)	−0.297** (0.128)	0.178 (0.480)	−0.064 (0.118)
C_FO	0.319** (0.134)	0.342** (0.141)	−0.026 (0.163)	0.624*** (0.120)	0.046 (0.190)	0.520*** (0.110)	0.431 (0.340)	0.397*** (0.101)
G_WT	−0.092*** (0.020)	−0.045** (0.019)	−0.060** (0.024)	−0.061*** (0.017)	−0.106*** (0.028)	−0.064*** (0.015)	−0.067* (0.041)	−0.070*** (0.014)
B_SZ	0.119** (0.046)	0.053 (0.056)	0.079 (0.052)	0.067 (0.050)	0.041 (0.064)	0.098** (0.042)	0.255*** (0.094)	0.030 (0.038)
B_IDP	0.117 (0.155)	0.291 (0.189)	0.378** (0.177)	0.127 (0.166)	0.036 (0.206)	0.376*** (0.145)	0.752** (0.313)	0.128 (0.129)
C_D2	−0.011 (0.019)	0.002 (0.017)	−0.039 (0.030)	0.010 (0.014)	−0.001 (0.026)	−0.002 (0.014)	−0.022 (0.046)	−0.005 (0.013)
T_SH1	0.116** (0.056)	0.112 (0.070)	0.072 (0.068)	0.084 (0.053)	−0.015 (0.077)	0.120** (0.047)	−0.087 (0.120)	0.075* (0.043)
T_OQ	0.014** (0.007)	0.047*** (0.008)	0.019* (0.010)	0.033*** (0.006)	0.040*** (0.009)	0.029*** (0.006)	0.035* (0.018)	0.029*** (0.005)
L_AE	0.093*** (0.018)	0.079*** (0.015)	0.073*** (0.025)	0.087*** (0.014)	0.111*** (0.024)	0.098*** (0.012)	−0.009 (0.041)	0.100*** (0.011)
F_AE	−0.116*** (0.037)	−0.114*** (0.033)	−0.147*** (0.052)	−0.126*** (0.028)	−0.195*** (0.050)	−0.119*** (0.027)	0.099 (0.096)	−0.138*** (0.025)
B_G4	−0.068*** (0.024)	−0.015 (0.051)	−0.051* (0.028)	−0.073** (0.033)	−0.127*** (0.032)	0.020 (0.030)		
Constant	−3.532*** (0.284)	−3.540*** (0.316)	−3.353*** (0.320)	−3.402*** (0.274)	−3.867*** (0.379)	−3.216*** (0.251)	−3.179*** (0.577)	−3.510*** (0.215)
Observation	6245	5605	4202	7648	2817	9033	1016	10834
R ²	0.318	0.402	0.312	0.396	0.341	0.377	0.325	0.370
Industry FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes

Note: H_IS and L_IS denoted high and low institutional investor's shareholding, respectively. H_REP and L_REP represent the high reputation and low reputation. Significance Level * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

information to make informed decisions. Generally, Big Four auditing firms (Deloitte, Ernst & Young, PricewaterhouseCoopers, and KPMG) enjoy greater global credibility than non-Big Four (N_Big4) firms. Reports audited by Big Four firms are less likely to suffer from information asymmetry and typically improve firms' disclosure mechanisms. We hypothesize that the effect of negative media coverage on ESG rating divergence is weaker in firms audited by Big Four firms. To test this, we classify the sample into Big4 and N_Big4 groups. The results in columns 7 and 8 of Table 10 show that the MNN coefficient is positive and statistically significant at the 1 % level for N_Big4 firms. In contrast, the MNN coefficient for Big Four-audited firms is not statistically significant. This supports our expectation that the impact of negative media coverage on ESG rating divergence is more pronounced in firms audited by non-Big Four firms.

5. Conclusion and implications

Immature legal enforcement and a weak information disclosure framework enable firms to engage in information disclosure manipulation, allowing third-party rating agencies to issue ESG ratings based on their own criteria. Based on agenda-setting theory, this study tests the mechanism of negative media coverage pressure on ESG rating divergence. Empirical evidence from a sample of China's A-share listed firms from 2015 to 2022 indicates that negative media coverage pressure induces firms to manipulate information disclosure (e.g., greenwashing), thereby increasing ESG rating divergence. Moreover, while negative media coverage plays an effective supervisory role and compels firms to improve their ESG performance, corporations that prioritize short-term

gains over long-term goals may resort to corporate hypocrite, ultimately intensifying ESG rating divergence. Furthermore, increased negative media coverage prompts external supervision through analyst coverage and research report coverage. Findings from our mediating effect analysis show that securities analysts enhance firm tracking in response to negative media coverage, thereby contributing to increased ESG rating divergence. Additionally, the impact of negative media coverage pressure on ESG rating divergence is more pronounced in enterprises with low institutional investor shareholding, non-state-owned firms, corporations with low reputations, and enterprises that do not employ Big Four audit firms. From a practical standpoint, the conclusions of this study are crucial for advancing the development of an effective information disclosure framework in developing markets like China.

We propose the following recommendations based on this study's findings. First, the government and other regulatory authorities should formulate a standardized regulatory framework for the media industry and strengthen the media's role in external supervision within China's capital market. Second, the government and other stakeholders should develop a practical information disclosure framework and establish standards for third-party rating agencies to ensure consistent ESG ratings. This approach can reduce ESG rating inconsistencies and help external stakeholders make informed decisions. Third, corporations should establish a well-organized information disclosure framework to ensure credibility and reliability in ESG performance and reporting. Lastly, the government should accelerate the transition from voluntary to mandatory information disclosure. Institutional investors, government authorities, external supervisors, and auditors should work together to build and enhance the information disclosure system and

environment.

The given study enriches the literature on both external monitoring and information disclosure. However, this study has some limitations. First, we use secondary data, and in the future scholars can use primary data to test this relationship. Second, we focus on the Chinese capital market, but due to cultural, economic, policy, and environmental context, the research conclusion implications may be different in different markets. Thus, scholars can analyze this relationship under different market environments. Third, this study ignores internal governance attributes and economic consequences of ESG rating divergence; therefore, in the future scholars can consider these factors to carry out more in-depth and rich research.

CRediT authorship contribution statement

Asif Ali: Conceptualize the article, collect data, perform analysis, and write the article. **Farman Ali:** Assist in data collection and review of the article.

Data availability

Data will be provided on request.

Appendix 1A. Variable Description

Variable Description	Symbol	Definition
Dependent Variables		
ESG rating divergence	ED_O	The standard deviation of six rating agencies
	ED*	The standard deviation of four rating agencies
Independent Variables		
Media pressure	MNN	$\frac{\text{Overall negative news every year} - \text{Overall positive news every year}}{\text{Overall negative news every year} + \text{Overall positive news every year}} \ln (\text{The total number of news articles in which the company appears} + 1)$
	MNN_1	$\text{MNN} = \frac{(\text{Total negative news every year} + 1)}{(\text{The total number of news articles in which the company appears} + 1)}$
	MNN_2	$\ln (\text{Total negative news every year} + 1)$
Control variables		
Firm Size	F_SZ	$\ln (\text{Total Asset})$
Leverage	L_EV	$\text{Total liabilities} / \text{Total assets}$
Return on Asset	R_A	$\text{Net profit} / \text{total asset}$
Cashflow	C_FO	$\text{Net cash flow from operations} / \text{Total assets}$
Growth	G_WT	The growth rate of operating income.
CEO Duality	CD_2	If the CEO holds a dual position then take the value of 1 otherwise, 0.
Board Size	B_SZ	$\ln (\text{Total number of directors on board})$
Board Independence	B_IDP	Proportion of independent directors
Top one shareholder	T_SH1	Proportion of largest one shareholder
Tobin_Q	T_OQ	Proportion of firm market capitalization to total assets
List Age	L_AE	$\ln (\text{The number of years since the firms listed})$
Firm Age	F_AE	$\ln (\text{The number of years since the firms established})$
Big Four auditing firm	B_G4	The binary variable takes 1 if the auditor is from the top 4 enterprises, 0 otherwise
Analyst coverage	A_CV	$\ln (\text{Total number of teams that track the firms in a financial year} + 1)$
Green Innovation	G_IN	$\ln (\text{Total Utility Patent} + \text{Total Invention patent} + 1)$
Research Report Coverage	RR_AT	$\ln (\text{Total number of research reports tracked and analyzed by the company in a financial year} + 1)$

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Declarations

There is no conflict of interest between the authors.

Ethical considerations

We consider all the ethical considerations while conducting this study.

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